

U.S. Economic Forecast

Wells Fargo U.S. Economic Forecast

	Actual								Forecast								Actual		Forecast	
	2024				2025				2026				2027				2024	2025	2026	2027
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q				
Real Gross Domestic Product (a)	0.8	3.6	3.3	1.8	-0.6	3.8	4.4	0.5	2.1	1.5	4.0	2.0	2.2	2.5	2.5	2.5	2.8	2.1	2.3	2.5
Personal Consumption	1.7	3.9	4.0	3.9	0.6	2.5	3.5	1.9	0.5	3.4	2.6	2.0	1.8	2.2	2.3	2.0	2.9	2.6	2.1	2.2
Business Fixed Investment	1.5	2.5	3.5	-3.7	9.5	7.3	3.2	2.4	10.6	8.5	8.0	5.8	5.2	6.2	4.8	5.3	2.9	4.1	6.9	6.0
Equipment	0.5	8.9	8.2	-4.3	21.4	8.5	5.3	4.3	15.8	13.6	6.9	4.8	4.5	6.0	5.0	4.0	3.5	8.3	9.9	5.8
Intellectual Property Products	6.7	0.7	2.6	-0.6	6.5	15.0	5.6	5.4	13.8	8.8	9.2	7.9	6.4	7.1	4.5	6.4	3.5	5.6	9.3	7.1
Structures	-5.0	-3.9	-2.2	-8.1	-3.1	-7.5	-5.0	-6.5	-4.7	-1.8	1.8	2.7	3.5	4.4	4.9	5.1	1.1	-5.3	-4.1	3.0
Residential Investment	8.2	-2.0	-4.8	4.3	-1.0	-5.1	-7.1	-1.7	-7.8	1.3	-3.2	-1.2	2.8	3.7	4.3	4.8	3.2	-3.2	-3.7	1.7
Government Purchases	2.3	3.3	5.4	3.3	-1.0	-0.1	2.2	-5.6	4.4	-1.0	3.2	1.1	1.1	0.8	0.8	0.8	3.8	1.1	0.6	1.1
Net Exports	-964.1	-1032.2	-1064.9	-1069.0	-1380.7	-1058.0	-955.5	-968.7	-1001.8	-1083.7	-1103.4	-1121.9	-1138.5	-1153.1	-1168.0	-1179.8	-1032.6	-1090.7	-1075.4	-1159.9
Pct. Point Contribution to GDP	-0.4	-1.0	-0.4	-0.1	-4.7	4.8	1.6	-0.2	-0.4	-1.1	-0.5	-0.3	-0.3	-0.2	-0.2	-0.2	-0.5	-0.2	0.1	-0.3
Inventory Change	12.4	75.1	69.4	17.1	172.0	-18.3	-23.9	-15.6	-16.7	-53.1	21.4	8.4	17.5	18.2	23.4	30.5	43.5	28.5	-9.4	22.4
Pct. Point Contribution to GDP	-0.8	1.2	-0.1	-0.9	2.6	-3.4	-0.1	0.1	0.2	-0.7	1.2	-0.2	0.1	0.0	0.1	0.1	0.0	-0.1	-0.2	0.1
Nominal GDP (a)	4.0	6.3	5.1	4.3	2.9	6.0	8.3	4.2	5.8	8.0	6.0	4.3	4.5	4.5	4.5	4.8	5.3	5.0	6.1	4.9
Real Final Sales	1.7	2.4	3.5	2.8	-3.2	7.5	4.5	0.3	1.9	2.2	2.8	2.2	2.1	2.5	2.4	2.4	2.8	2.2	2.5	2.4
Retail Sales (b)	1.8	2.5	2.3	3.9	4.5	4.0	4.4	3.0	3.9	6.3	5.8	6.0	5.0	2.5	1.9	1.7	2.6	4.0	5.5	2.7
Inflation Indicators (b)																				
PCE Deflator	2.8	2.7	2.4	2.6	2.6	2.4	2.7	2.8	3.1	3.9	3.6	3.5	2.9	2.1	2.1	2.1	2.6	2.6	3.5	2.3
"Core" PCE Deflator	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.1	2.7	2.4	2.4	2.4	2.9	2.8	3.2	2.5
Consumer Price Index	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.7	3.8	3.3	3.3	2.9	1.8	2.0	1.9	3.0	2.7	3.3	2.1
"Core" Consumer Price Index	3.8	3.4	3.3	3.3	3.1	2.8	3.1	2.6	2.5	2.7	2.4	2.5	2.3	2.2	2.3	2.3	3.4	2.9	2.5	2.3
Producer Price Index (Final Demand)	1.5	2.6	2.2	3.1	3.4	2.5	3.0	3.0	3.6	5.7	4.8	4.4	3.7	2.3	2.7	2.6	2.4	3.0	4.6	2.8
Employment Cost Index	4.2	4.1	3.9	3.8	3.6	3.6	3.5	3.4	3.4	3.4	3.4	3.4	3.4	3.4	3.4	3.5	4.0	3.5	3.4	3.4
Real Disposable Income (a)	4.2	2.4	1.2	2.0	2.3	1.8	1.0	-0.9	0.9	-1.5	2.2	2.3	4.4	2.2	2.0	2.2	2.9	1.7	0.4	2.5
Nominal Personal Income (a)	7.6	5.4	3.6	4.9	6.4	4.3	4.4	2.4	3.4	3.9	4.2	4.7	4.9	4.1	4.0	4.5	5.6	4.8	3.7	4.5
Industrial Production (a)	-2.6	2.7	-2.3	-1.5	4.2	1.8	2.1	-1.9	1.3	4.2	2.3	2.3	1.1	1.0	1.1	0.5	-0.7	1.1	1.5	1.6
Capacity Utilization	76.3	76.6	76.0	75.5	76.0	76.1	76.2	75.6	75.6	76.1	76.9	77.4	77.7	78.0	78.3	78.6	76.1	75.9	76.5	78.2
Federal Budget Balance (c)	-555	-209	-544	-711	-596	-30	-438	-602	-566	-198	-733	-607	-732	-186	-476	-649	-1817	-1775	-2100	-2000
Nonfarm Payroll Change (d)	203	76	72	135	20	34	23	-39	73	77	41	61	69	60	58	54	122	10	63	60
Unemployment Rate	3.8	4.0	4.2	4.1	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.2	4.2	4.2	4.1	4.1	4.0	4.3	4.2	4.1
Light Vehicle Sales (g)	15.5	15.7	15.7	16.4	16.4	16.2	16.6	15.7	15.5	16.4	16.1	15.9	16.4	16.6	16.7	16.9	15.9	16.2	15.9	16.7
Crude Oil - Brent - Front Contract (h)	81.2	84.4	78.0	73.6	74.3	65.9	67.5	62.7	76.3	93.1	81.0	78.7	77.7	76.3	74.7	73.0	79.3	67.6	82.3	75.4
Housing Starts (e)	1.4	1.3	1.3	1.4	1.4	1.4	1.3	1.3	1.4	1.3	1.3	1.2	1.3	1.3	1.3	1.4	1.4	1.4	1.3	1.3
New Home Sales, Single-Family (f)	672.3	686.3	711.3	667.7	654.0	662.7	686.7	710.7	621.7	649.7	633.8	640.8	648.5	656.9	664.1	672.1	684.4	678.5	631.7	660.4
Total Existing Home Sales (e)	4.1	4.0	4.0	4.1	4.1	4.0	4.0	4.2	4.1	4.1	4.1	4.1	4.2	4.2	4.3	4.3	4.1	4.1	4.1	4.3
S&P Case-Shiller National Home Price Index (b)	6.4	6.0	4.4	3.8	3.9	2.4	1.5	1.3	0.8	1.2	1.6	1.2	1.2	2.0	2.4	2.9	5.1	2.2	1.5	2.3
Quarter-End Interest Rates (i)																				
Federal Funds Target Rate (j)	5.50	5.50	5.00	4.50	4.50	4.50	4.25	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	5.27	4.33	3.75	3.75
Secured Overnight Financing Rate	5.34	5.33	4.96	4.49	4.41	4.45	4.24	3.87	3.68	3.68	3.65	3.65	3.65	3.65	3.65	3.65	5.15	4.24	3.67	3.65
Prime Rate	8.50	8.50	8.00	7.50	7.50	7.50	7.25	6.75	6.75	6.75	6.75	6.75	6.75	6.75	6.75	6.75	8.27	7.33	6.75	6.75
Conventional Mortgage Rate	6.82	6.92	6.18	6.72	6.65	6.82	6.35	6.20	6.18	6.49	6.55	6.40	6.35	6.30	6.30	6.30	6.72	6.60	6.40	6.31
3 Month Bill	5.46	5.48	4.73	4.37	4.32	4.41	4.02	3.67	3.70	3.87	3.70	3.65	3.65	3.65	3.65	3.65	5.18	4.21	3.73	3.65
6 Month Bill	5.38	5.33	4.38	4.24	4.23	4.29	3.83	3.59	3.72	4.01	3.85	3.70	3.70	3.70	3.70	3.70	5.00	4.09	3.82	3.70
1 Year Bill	5.03	5.09	3.98	4.16	4.03	3.96	3.68	3.48	3.68	3.98	3.90	3.75	3.75	3.75	3.75	3.75	4.69	3.91	3.83	3.75
2 Year Note	4.59	4.71	3.66	4.25	3.89	3.72	3.60	3.47	3.79	4.14	4.05	3.90	3.85	3.85	3.85	3.85	4.37	3.81	3.97	3.85
5 Year Note	4.21	4.33	3.58	4.38	3.96	3.79	3.74	3.73	3.92	4.19	4.20	4.05	4.00	4.00	4.00	4.00	4.13	3.92	4.09	4.00
10 Year Note	4.20	4.36	3.81	4.58	4.23	4.24	4.16	4.18	4.30	4.44	4.55	4.45	4.40	4.40	4.40	4.40	4.21	4.29	4.44	4.40
30 Year Bond	4.34	4.51	4.14	4.78	4.59	4.78	4.73	4.84	4.88	4.91	5.10	5.05	5.00	5.05	5.05	5.10	4.41	4.78	4.99	5.05

Forecast as of: August 13, 2026

Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter

(b) Year-over-Year Percentage Change

(c) Quarterly Sum - Billions USD; Annual Data Represents Fiscal Year

(d) Average Monthly Change, Thousands

(e) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Annual Total, Millions

(f) Quarterly Data - Average Monthly SAAR, Thousands; Annual Data - Actual Annual Total, Thousands

(g) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Vehicles Sold, Millions

(h) Quarterly Average of Daily Close, USD

(i) Quarterly Data - Period End; Annual Data - Annual Averages

(j) Upper Bound of the Federal Funds Target Range

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics



Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

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